STANDARD OPERATING PROCEDURE

Returns and Refunds SOP

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Document owner	Customer Care Operations
Audience	Customer Care agents (Tier 1), Team Leads, Returns Processing Center
Classification	Internal - do not distribute outside Lumora

Purpose. Defines how Customer Care handles return requests and refunds for products bought directly from Lumora (online store and phone orders), from eligibility checks to refund approval. Products bought from retail partners are returned through the retailer and are out of scope. Warranty replacements after the return window follow the Warranty Claims SOP (LHS-SOP-TS-007).

1. Definitions

Term	Definition
Delivery date	The date the carrier marked the order as delivered in the Order Management System (OMS).
Change-of-mind return	A return of a working product the customer no longer wants.
Defective return	A return within the return window of a product that does not work as described, confirmed by troubleshooting.
RPC	Returns Processing Center, the facility that receives, inspects and grades returned units.
RMA	Return Merchandise Authorization number, created in OMS for every physical return (see LHS-SOP-OPS-011).
LumoraDesk	The customer support ticketing system.

2. Return Eligibility

2.1 Return Window

Customers may return any product bought directly from Lumora within 30 calendar days of the delivery date, for any reason. The return window is counted from the delivery date shown in OMS, not from the order date. The return is considered on time if the RMA is created within the window; the customer then has 14 days to ship the item.

Holiday extension. Orders delivered between November 15 and December 31 can be returned until January 31 of the following year, or within the standard 30 days if that is later. The extension

applies to change-of-mind and defective returns alike, but it does not apply to orders placed by business accounts or to orders containing more than five units of the same product. Agents must select the reason modifier HOL in OMS so that the return is not flagged as late by the automated window check.

2.2 Condition Requirements

- The product must be complete, including the wall plate, trim plate, screws and any accessories that came in the box.
- Opened products are accepted. Customers should factory reset the device and remove it from their Lumora account before shipping.
- Products with physical damage, liquid damage or engraving are not accepted as change-of-mind returns.

2.3 Non-Returnable Items

- Items marked "Final Sale" on the order confirmation (clearance stock).
- Gift cards and Lumora Plus subscription fees (see the Billing FAQ for subscription cancellations).
- Professional installation services that have already been performed. The $129 installation fee is refunded in full only if the appointment has not yet taken place.
- Power Extender Kits (PEK-1) that have been installed in the equipment.

2.4 Restocking Fee

A 15% restocking fee applies to opened change-of-mind returns when the RMA is created more than 14 days after delivery. No restocking fee is charged for unopened products, defective returns, wrong items shipped, or items damaged in transit. Team Leads may waive the fee once per customer per calendar year.

3. Procedure: Creating a Return

1. Verify the customer's identity using the order number plus the email address or the last four digits of the phone number on the order.
2. Open the order in OMS and confirm the delivery date, the payment method and whether any item is marked Final Sale.
3. Confirm eligibility against section 2. If the return window has passed, check whether the product is still under warranty and follow LHS-SOP-TS-007 instead.
4. For a defective return, complete the troubleshooting steps for the product in the relevant product guide and record them in the LumoraDesk ticket.
5. Select the return reason code (Table 3-1) and create an RMA of type RET in OMS as described in the RMA Process SOP.
6. Confirm the refund amount, any restocking fee and how the refund will be paid. Read the amounts back to the customer.
7. Send the prepaid return label from OMS. The label is emailed within 1 business day and is valid for 14 days.
8. Link the RMA number to the LumoraDesk ticket and set the ticket to Pending - Return in Transit.

Code	Reason	Restocking fee	Shipping refunded
CM-01	Change of mind	Possible (see 2.4)	No
DF-02	Defective - confirmed by troubleshooting	No	Yes
WI-03	Wrong item shipped	No	Yes
DT-04	Damaged in transit (report within 7 days of delivery)	No	Yes
MP-05	Missing parts - replacement parts declined	No	Yes

Table 3-1. Return reason codes.

4. Refunds

4.1 Refund Approval Thresholds

The refund amount is the total paid for the returned items, including tax, less any restocking fee. Approval authority depends on the refund amount per order. Agents must not split a refund across several transactions to stay below a threshold.

Refund amount per order	Approver	Notes
Up to $250.00	Customer Care agent (Tier 1)	Approve in OMS directly.
$250.01 to $1,000.00	Team Lead	Approval request in OMS; Team Lead responds within 4 business hours.
$1,000.01 to $5,000.00	Customer Care Manager	Attach order history and ticket summary.

Refund amount per order	Approver	Notes
Above $5,000.00	Customer Care Manager and Finance Controller	Both approvals required before the refund is released.

Table 4-1. Refund approval matrix.

4.2 Refund Timing and Method

Refunds are issued within 5 business days after the RPC records a passed inspection. Refunds always go back to the original payment method. Card refunds can take an additional 3 to 10 business days to appear on the customer's statement, depending on the card issuer. Orders paid with a gift card or store credit are refunded as store credit, which is available immediately.

4.3 Shipping Charges

Original shipping charges are refunded only for reason codes DF-02, WI-03, DT-04 and MP-05. Return shipping is always free when the customer uses the prepaid label from OMS.

4.3.1 Expired or Closed Cards

If the original card has expired or been closed, the refund is still sent to that card; card issuers forward the credit to the replacement card or to the account. If the issuer rejects the refund, OMS converts it to store credit automatically and the agent should offer to reissue it by check, which takes up to 10 business days.

4.3.2 Partial Returns From Bundles

Items bought as a bundle (for example the T3 with one Room Sensor S1, SKU LT-T3-02) can be returned individually. The refund for each item is its share of the bundle price in proportion to the list prices, not the full list price of the item.

4.4 Inspection Grades and Partial Refunds

The RPC grades every returned unit using the grading scale in the RMA Process SOP. The grade determines the refund outcome for change-of-mind returns:

Grade	Condition	Refund outcome
A	Unopened or like new, complete	Full refund.
B	Opened, complete and working	Full refund, less restocking fee if section 2.4 applies.
C	Missing parts or cosmetic damage	Refund less 20% of the item price.
D	Physical or liquid damage, or not working without a defect report	Refund denied; Team Lead review. The unit is shipped back to the customer at no cost.

Table 4-2. Grade-based refund outcomes.

4.5 Returnless Refunds

If the item price is $40.00 or less and the customer reports a defect that troubleshooting confirms, the agent may issue a refund or free replacement without requiring the item to be returned. Returnless refunds are limited to one per customer per 12 months and do not require Team Lead approval. The Room Sensor S1 single pack is the most common case.

5. Exceptions

- **Late returns:** a Team Lead may approve a return up to 15 days after the window has closed, once per customer. Note the reason in the ticket.
- **Chargebacks:** if the customer has opened a card dispute, do not process a refund. Route the ticket to the Finance Disputes queue.
- **Repeat returners:** customers with three or more returns in 12 months are flagged in OMS. Refunds for flagged customers need Team Lead approval regardless of amount.
- **Price adjustments** within 14 days of purchase follow the price match rules in the Billing FAQ and are not processed as returns.

6. Quality and Records

Every return must have an RMA number linked to a LumoraDesk ticket. Quality Assurance audits 5% of refunds each month. Audit findings are reviewed with the agent's Team Lead within 10 business days.

Revision	Date	Change
2.3	January 5, 2026	Holiday extension excludes business accounts.
2.2	July 1, 2025	Returnless refund limit raised to $40.
2.1	February 3, 2025	Grade-based refund table added.